GRAPE

Where Fashion is Fun

Business and Strategy Analysis

By NAMAN GUPTA

GRAPE

In this report , we will ponder over :

1. Grape Working Model
2. Grape Business Model
3. Market Growth and Trends
4. AI and Market
5. Personalized AI Stylist
6. Grapes ‘s AI Review
7. Grape’s Expenditure and Profit
8. Issues
9. Suggestions
10. Gold Mine to Hit

GRAPE Working Model

- Grape is a platform where user can shop , collaborate ,curate and explore fashion styles and a basic stylist .
- On Grape ,user can shop based on mood , occasion, theme and destination/ place to visit .
- Platform offers easy interface to interact with AI which can suggest fashion styling .
- Grape AI offers
  - Accessories suggestion to elevate user looks .
  - Color combinations .
  - Reviews on Outfit .
  - Suggestion between Two.
- Platform has Explore Page ,where user interact , view and curate their own ideas for combination .

GRAPE Working Model

- It offer shop feature where people can shop for particular style , brands .
- It offers generic personalized suggestion , based on questionnaire about body shape, color combinations , styles and then curate fashion styles for users .
- User can Use AI just for one time as free ,later they have to pay per advice /question.
- Grape is focused on women only (especially gen-z).
- Platform offers western and fast fashion majorly .
- Grape manages ordering , return by itself even though it mention about the sales company name on the app .

GRAPE Business Model

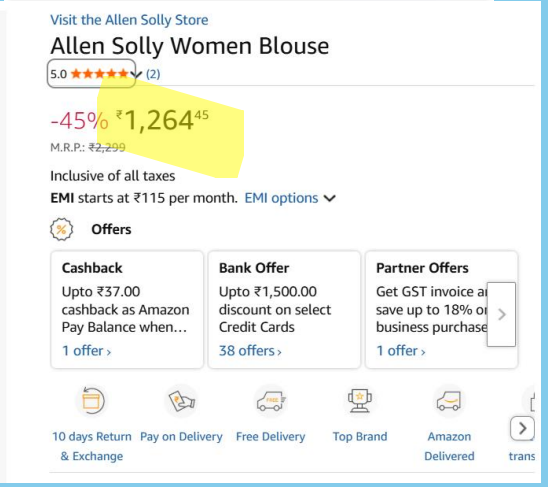
- Grape has some sort of Affiliate Market as it has a section for Myntra and Other intermediaries
- It’s major business model is selling fashion as a intermediary , as user can directly order from grape .
- Grape offers AI Based Stylist which suggest fashions , what looks better ,etc on the basis of personalised information at a very affordable price .
- Platform’s AI adds to revenue on per question/advise asked .
- It charges
  - 5 Advice for 15 rupees .i.e. 3 rupees each
  - 15 Advice for 30 rupees .i.e. 2 rupees each .
  - 30 Advice for 45 rupees .i.e.1.5 rupees each .
  - 50 Advice for 50 rupees only . i.e. 1 rupees each .

GRAPE Business Model

- Grape Business Model is
  1. Revenue from Direct Sales .
  2. Revenue from Affiliate Sales .
  3. Revenue from AI subscription.
- Generally Platforms can earn some sort of revenue from brand pushing ,but it requires heavy traffic on the platform(*which now seems not possible for Grape)* .
- For Now , there had been **expected 1,04,237 Downloads of Grape App** till February ,2026 in Android and let's take a number of 25,000 Apple User
- Let's take there is total 1,30,000 downloads of Grape .
- There should be at least 20% active users , i.e. 26000~ 25000 active users .

GRAPE Business Model

- Example-
- Grape offers a Allen Solly's white shirt at 1380 .
- Same Allen Solly's White Shirt is available at Amazon at a price of 1264 , which includes Amazon's profit , charges ,etc .
- If It had bought this at 1264, still its earn ~**10% commission approximately** .



GRAPE Business Model

5000 order in a month ✖ At AOV - 800 = 40,00,000

10% Commission ↓

4,00,000

Revenue from Direct Sale.

GRAPE Business Model

25,000 Active User → (25 %) → 6,250 AI User

↓

At least 10 Question per month

↓ At 1 rupees per Question

62,500

Revenue from AI Subscription

GRAPE Revenue

Source of Revenue	Revenue
Revenue from Direct Sales	4,00,000
Revenue from Affiliate Marketing	40,000
Revenue from AI Suggestions	62,500
Total Revenue	**5,02,500**

- These Calculations are based on the assumed numbers, it can vary on the actual data.

Fashion Market and its Growth

- The increasing middle-class population, high disposable income, and shifting lifestyle preferences induced by fashion are driving this growth.
- This growth is primarily driven by the rise of fast fashion, shaped by social media trends and Gen Z's demand for stylish, on-trend apparel.
- Women's Apparel leads at **$53.13B**.
- Western wear is expected to be the most lucrative segment in the women's wear market, driven by the increasing demand for casual and formal wear.

The Indian market for fashion was valued at **US$ 102.8 billion in 2022**

at a CAGR of **4%**

It is projected to reach US$ **146.3 billion by 2032**

Online Shopping

- The online fashion market is approximately **$11 billion** and has grown at around **30% per year since 2019.**
- The online fashion market overall is expected to grow to approximately $35 billion by financial year 2028 (FY28) at a **25% CAGR.**
- Instagram was found as the most popular social media platform to engage with fashion-related content with (*80.6%) respondents followed by Youtube with (12.6) % and Pinterest (4.9%)*.
- Augmented reality (AR) and virtual reality (VR) technologies are changing the way people shop for clothes, making it possible for customers to interact with products.

Online Shopping and Interaction

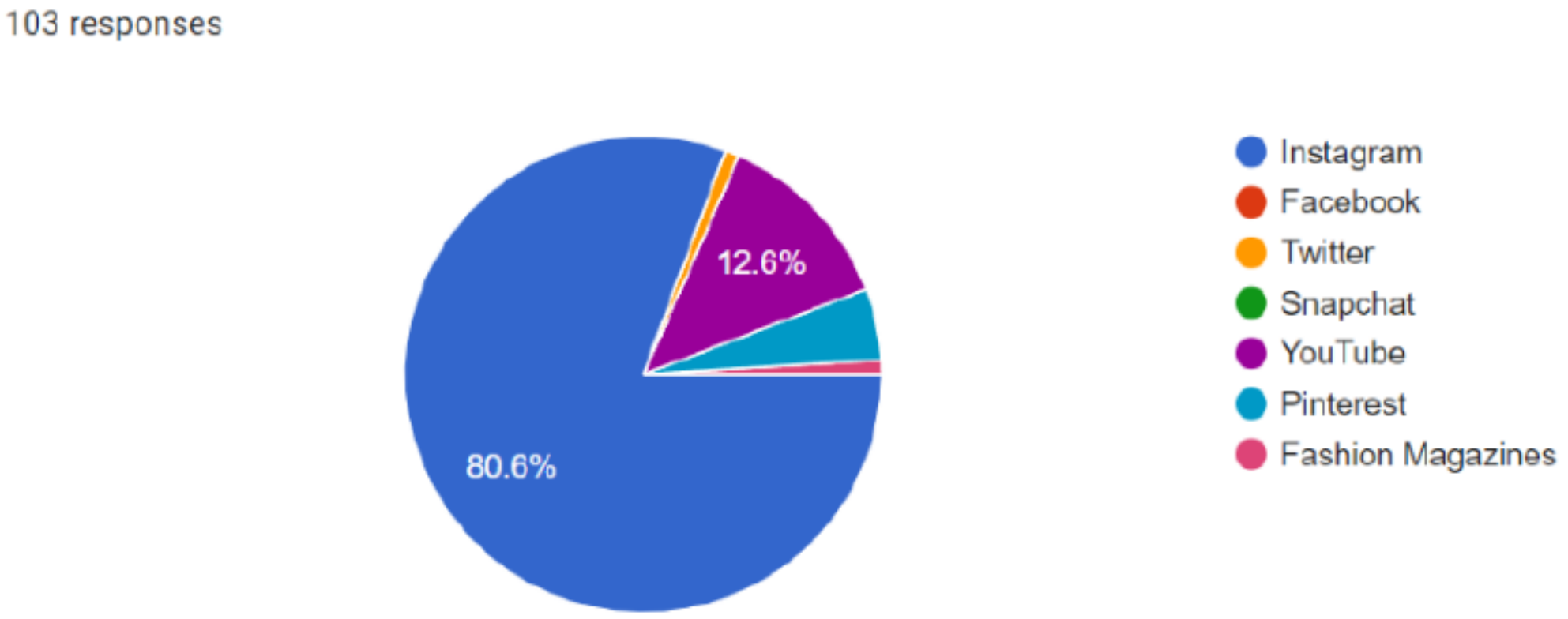


Figure 1: Showing the percentage of social media platform used for fashion-related content

Fast Fashion and Gen-Z

- Website and app data analysis shows that 70% to 80% of the traffic to digital disruptors originates from these segments(Gen Z and Millennials), *with Gen Z accounting for 30% to 35% and millennials for 40% to 45% of the total traffic*.
- A growing segment of Indian consumers, particularly Millennials and Gen Z, is no longer shopping only for style—**they are shopping for values.**
- When asked about the factors influencing fashion-related purchase decisions, respondents feel that comfort is the most important factor (77.7%) followed by price (67%) and trends (48.5%).
- Additionally, Myntra has introduced *its own quick-commerce service, M-now, and is piloting a two-hour delivery service* in select areas of Bengaluru.

Fast Fashion and Gen-Z

- The fast fashion segment in India is booming at an unprecedented pace. With an increasing appetite for affordable, trend-driven clothing, especially among urban youth and tier-2 and tier-3 city consumers, fast fashion has emerged as a key driver of retail growth.
- In 2024, *India's fast fashion market was valued at approximately $10 billion and is expected to grow five-fold to reach $50 billion by FY31*, reflecting a CAGR of more than **20 per cent** (Fibre2Fashion, 2024).
- **Gen Z in India is primarily drawn to medium-range fast fashion** rather than expensive luxury brands, though they value quality, uniqueness, and brand authenticity.
- Gen Z shoppers prioritize **trendy, affordable collections** under **₹1,200**.

AI and Market

- The popularity of AI styling is on the rise, especially as the spending power of younger consumers — who are tech-savvy and accustomed to digital shopping — increases.
- Valued **at $5.57 billion in 2024**, the global virtual fitting room market is expected to grow at a CAGR **of 24.6%(Grand View Research).**
- A survey by Capgemini found that *71% of consumers are willing to engage with AI technology* if it enhances their shopping experience
- According to a study by Statista, *90% of Millennials and 92% of Gen Z consumers prefer brands that use AR and AI in their shopping experience*, showcasing the potential for AI styling to cater to this demographic.
- According to one industry guide, *combining AI personalisation with chat interfaces can* ***boost customer satisfaction*** *by up* ***to 20 per cent*** *and increase* ***conversion rates*** *by as much as* ***15 per cent***.

AI and Market

- Globally, chatbot usage is soaring: industry statistics suggest ~80 per cent of retail brands now leverage or plan to leverage chatbots for engagement, and over 60 per cent of consumers say chatbots save them time with round-the-clock availability.
- The Capterra study (July 2024) reports that 51 per cent of Indian online shoppers prefer AI chatbots for shopping help–a clear majority signalling comfort with automated assistants.
- Another India-focused study found that 72 per cent of consumers are already using chatbots for product search (versus older methods).

AI Personalized Stylist

- It analyses multiple layered data points, including:
  - Skin undertones & seasonal color palettes
  - Body shape proportions
  - Face shape & structure
  - Wardrobe inventory (digital wardrobe mapping)
  - Occasion preferences
  - Lifestyle patterns
  - Shopping behavior
  - Outfit performance feedback (what users rate highly)

AI Stylist in India

- **Myntra's 'My Stylist'** is an AI-powered personal style assistant launched in May 2023, designed to help users discover complete, shoppable outfit recommendations.
- **BeSpoke AI Stylist**, a Hyderabad-based platform launched in 2025, functions as a digital personal stylist that curates complete outfit ideas based on user preferences, body type, budget, occasion, and existing wardrobe.
- **Aiuta** is another AI-powered personal stylist app that analyzes your wardrobe and offers outfit pairings, shopping advice, and style upgrades. It uses generative AI and computer vision to provide tailored recommendations and offers premium features like live stylist advice and unlimited style generation for ₹1,200/month or ₹9,700/year.

AI Stylist in India

- The **Indian fashion brand W** has launched an AI-powered chatbot that helps customers find the perfect outfit. The chatbot uses natural language processing and machine learning to understand customer preferences and suggest outfits based on their style and body type.
- **Fabulyst**, a Hyderabad-based AI fashion startup, helps women discover their personal style and shop for outfits that suit their body shape, skin tone, and occasion. Fabulyst uses AI to analyze the user's profile and preferences, and provide curated recommendations from various online stores.
- **Streamoid** also offers a personal stylist chatbot that can interact with customers and provide style advice based on *their preferences, body type, and occasion*.

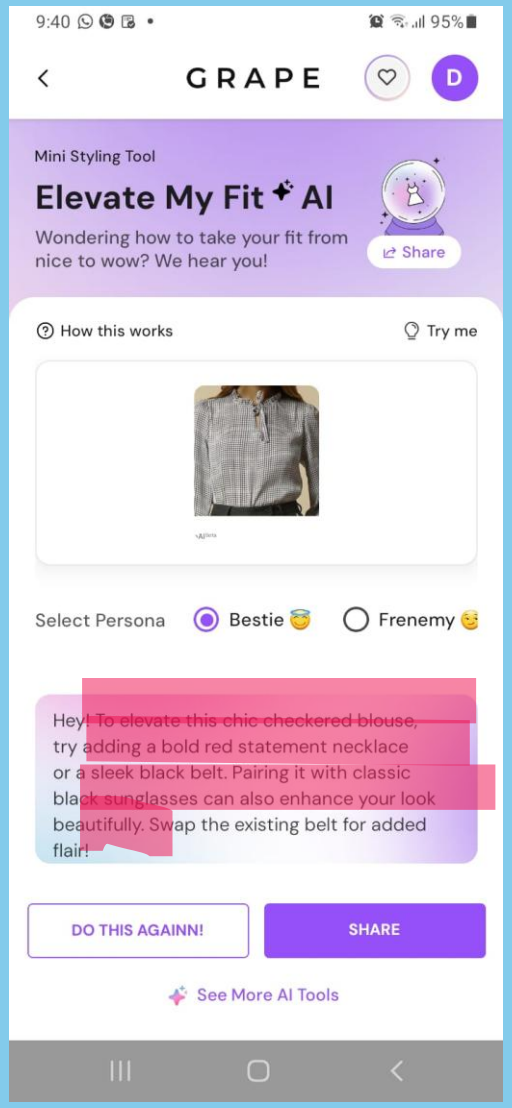
AI Stylist in India

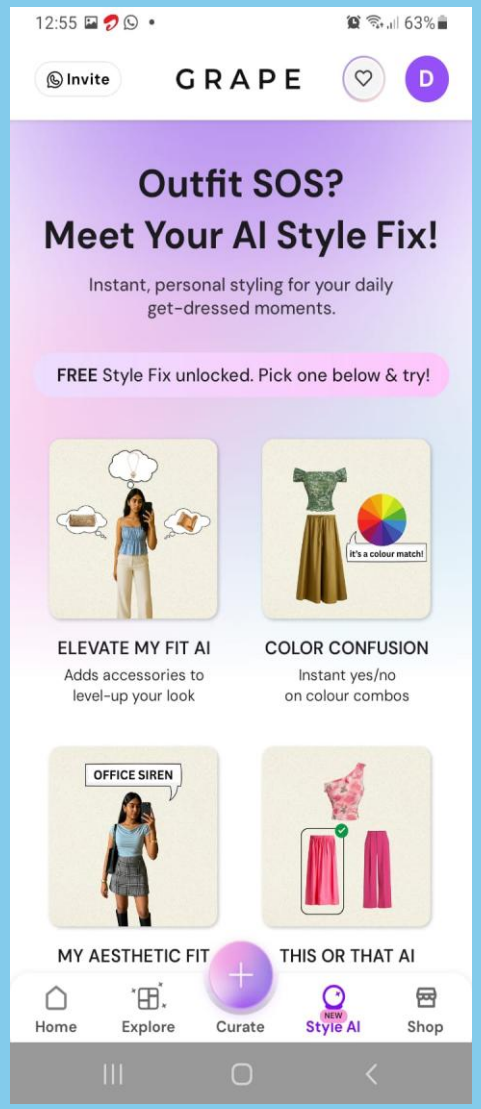
- **Stylz** combines AI with human fashion expertise to deliver personalized styling, digital wardrobes, and identity-driven fashion solutions. Its AI engine analyzes color harmony, outfit balance, and user behavior to provide dynamic, data-backed recommendations for everyday wear, weddings, and special events.

- **Alle** is an AI fashion shopping app tailored for Gen Z, offering image search, virtual try-on, and shoppable styling. Users can upload photos of outfits (from Pinterest, celebs, or their wardrobe) to find matching products instantly.

GRAPE ‘s AI

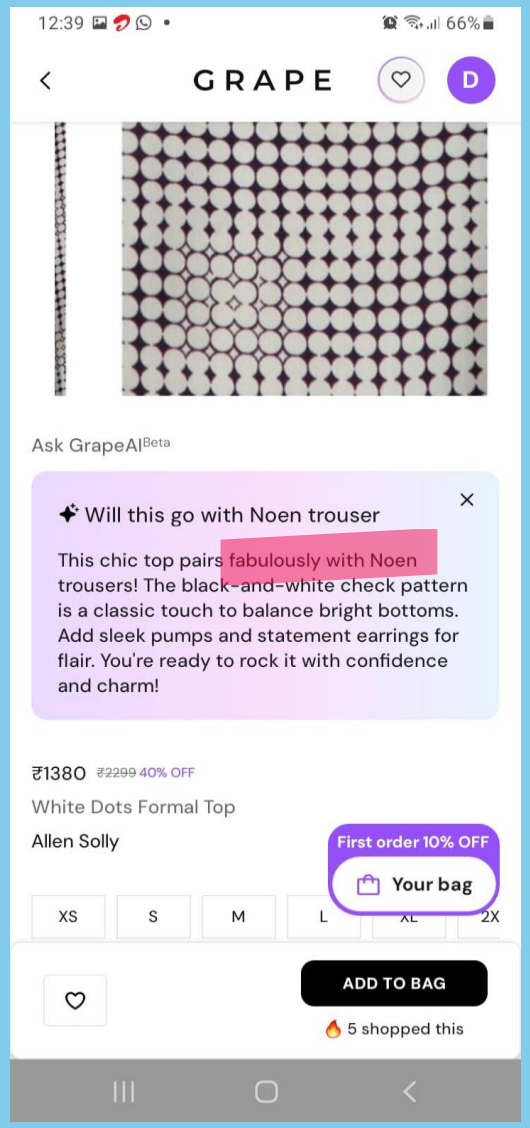
- Grape ‘s AI offers four feature :
  - Accessories suggestion to elevate user looks .
  - Color combinations .
  - Reviews on Outfit .
  - Suggestion between Two.
- When asked for suggestion to elevate my fit, it offers suggestion what look good with this shirt in text but doesn’t suggest the exact product to engage customer.

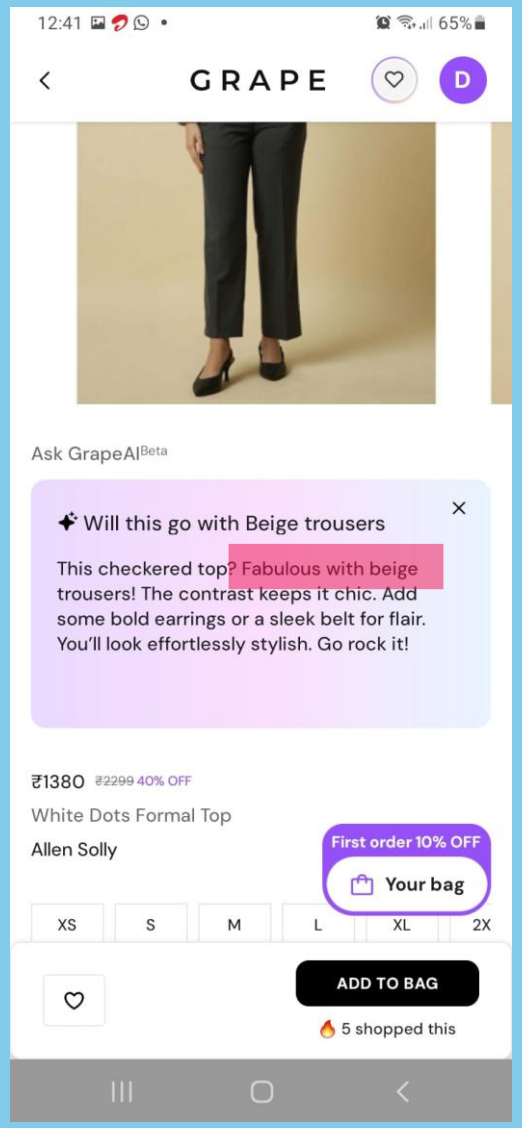


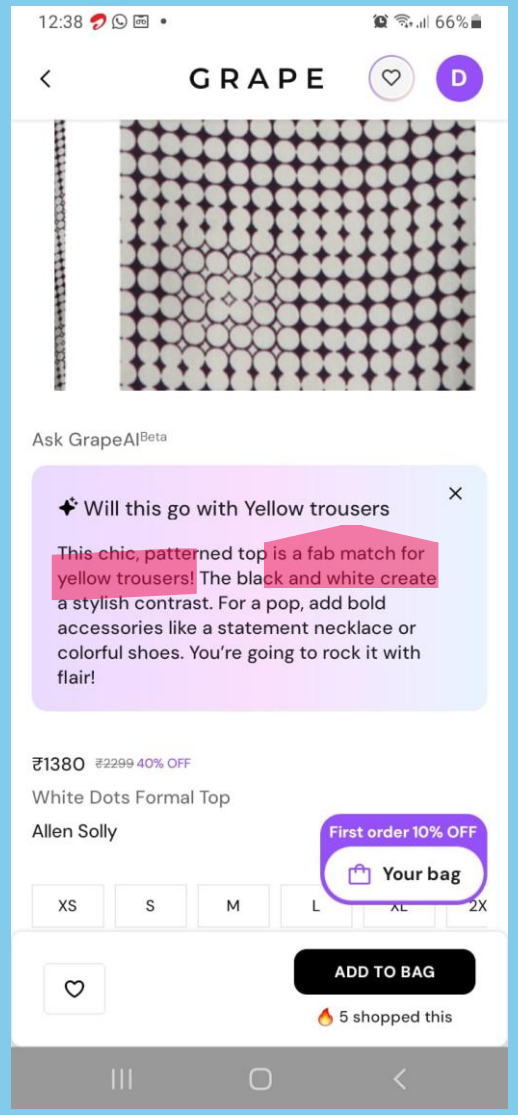


GRAPE ‘s AI

- For AI’s Suggestion in Explore and Shop Area , it gives generic solution and even for worst color ,like neon, it suggests with words like fabulous.





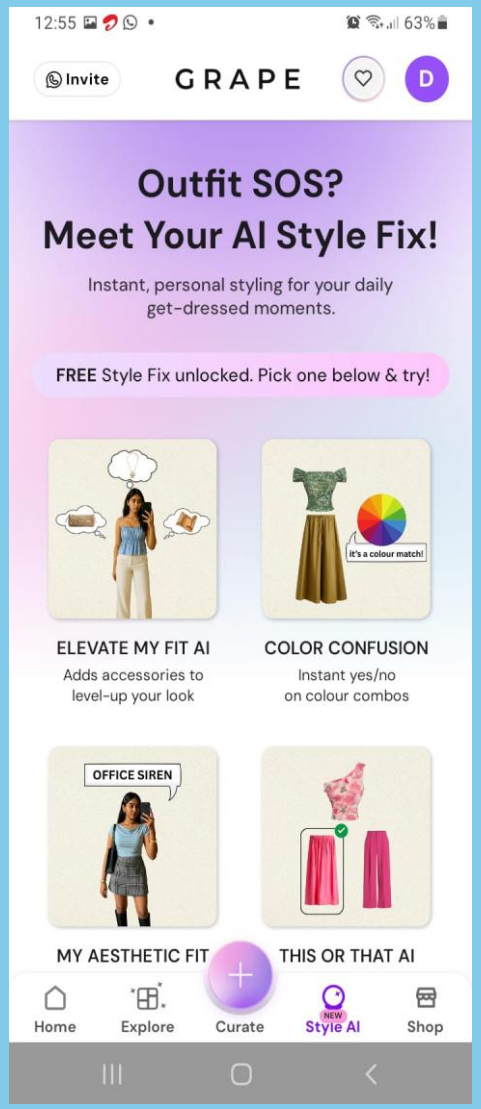


GRAPE ‘s AI

- Grape AI asks for
  - Your Body Shape (which have 3 options)
  - User’s Colors Preference .
  - Style Preference

- Other’s AI takes in consideration of :
  - Face Color and Shape .
  - Skin Undertone
  - Season
  - Occasion, etc.

- This suggests Grape’s AI is lagging behind its competitors .



AI Comparison

Feature	Stylz	StyleDNA	Grape	Opportunity
AI Outfit Recommendation	Yes	Yes	Yes	Improve personalization
Body Fit Prediction	NO	Yes	NO	Potential feature for Grape
Visual Image Search	Yes	NO	NO	Can improve discovery
Fashion Community	NO	NO	NO	High engagement opportunity
Virtual Try-On	NO	NO	NO	Unique User Experience

Grape’s Expenditure

- For Developing app, like Grape, one needs 2 Mobile Developers,1 Backend Developer,1 AI/ML Engineer,1 UI/UX Designer,1 Product Manager,1 QA Engineer for at least 6 months , which would cost them at least 25-30 Lakhs .
- Apart from this , it requires Cloud Setup , AI Api experimentation, Legal Compliance ,miscellaneous expenses which would be around 5-10 lakhs .
- Which adds up around *30-40 lakhs* .
- As per Recent Post by Founder , there are at least **12 person i**n Company meet .
  - Let’s take an average salary of *40,000 for a person in a month* .
  - Then for 12 person , it adds up *to 4,80,000 for* a month .

Grape’s Expenditure

- For Cloud Usage , For early stage (under 100k MAU): *1 lakh/month* .
- Let’s Assume that Grape is using Open AI for AI queries.
  - We assumed that *62500 queries* will be raise for a month .
  - let’s take that a query would cost for *0.50 rupees* .
  - Then for 62,500 queries , it will add up to **31,250 rupees per month** .
- For Payment Gateway fees , Razorpay charges a premium of 2 % + 18% Gst on 2% .
  - But here we will take 2% only .
  - total transaction through is 4,00,000 from direct sales and 62500 from AI queries
  - This 2% of 4,62,500 will be **9250 per month** .
- For Now , let’s not take Return Expenses ,(a major chunk) ,into consideration.

GRAPE Expenditure

Source of Expenditure	Expenditure
Expenditure in Salary	4,80,000
Expenditure to OpenAI	31,250
Expenditure in Cloud Service	1,00,000
Expenditure to RazorPay	9,250
Total Expenditure	**6,20,500**

- These Calculations are based on the assumed numbers, it can vary on the actual data.
- Here , we are not including Return Expense and Cost for Development .

GRAPE Revenue

Source of Revenue	Revenue
Revenue from Direct Sales	4,00,000
Revenue from Affiliate Marketing	40,000
Revenue from AI Suggestions	62,500
Total Revenue	**5,02,500**

- These Calculations are based on the assumed numbers, it can vary on the actual data.

GRAPE Loss

Total Revenue	5,02,500
Total Expenditure	6,20,500
Net Loss	**1,18,000**

- These Calculations are based on the assumed numbers, it can vary on the actual data.

Grape’s User Base

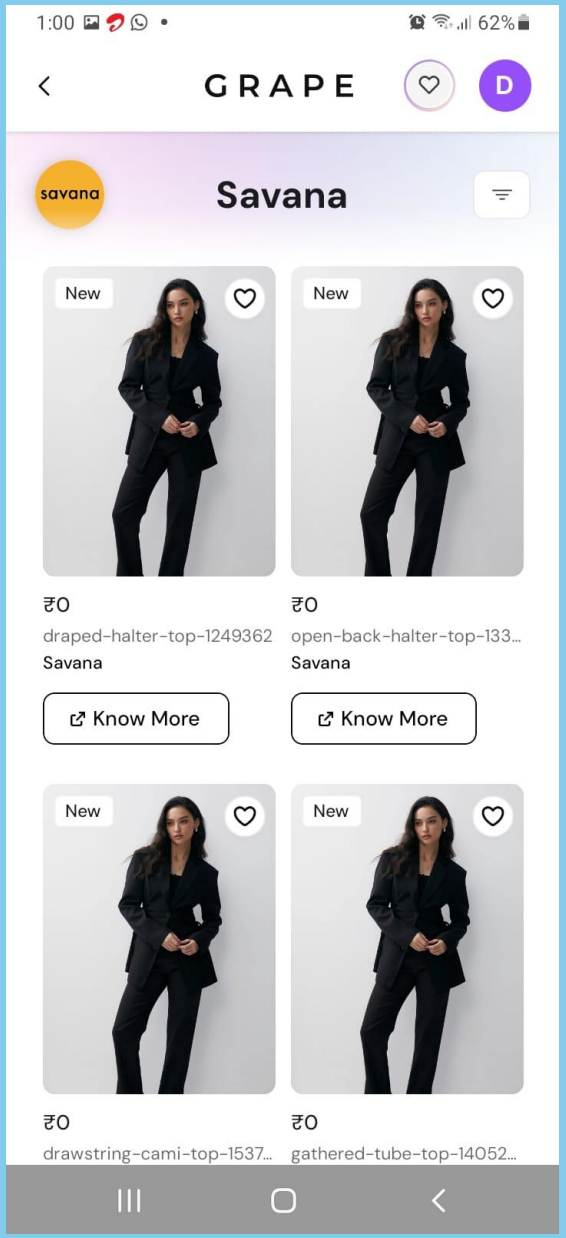
- As per the install data of Grape App in Android :
  - There are had been *1 Lakh installation of Grape in September ,2025*.
  - In February 2026, there had been total *1,04,237 installations* .
  - In 6 Months , there had been marginal increase **of 4237 user only** .
  - In about 6 months there had been increase in Users/ Reach of the App is ~4.3%
  - *This 4.3% does not guarantee increase in revenue , as only 10% of increase may add up as Active User* .

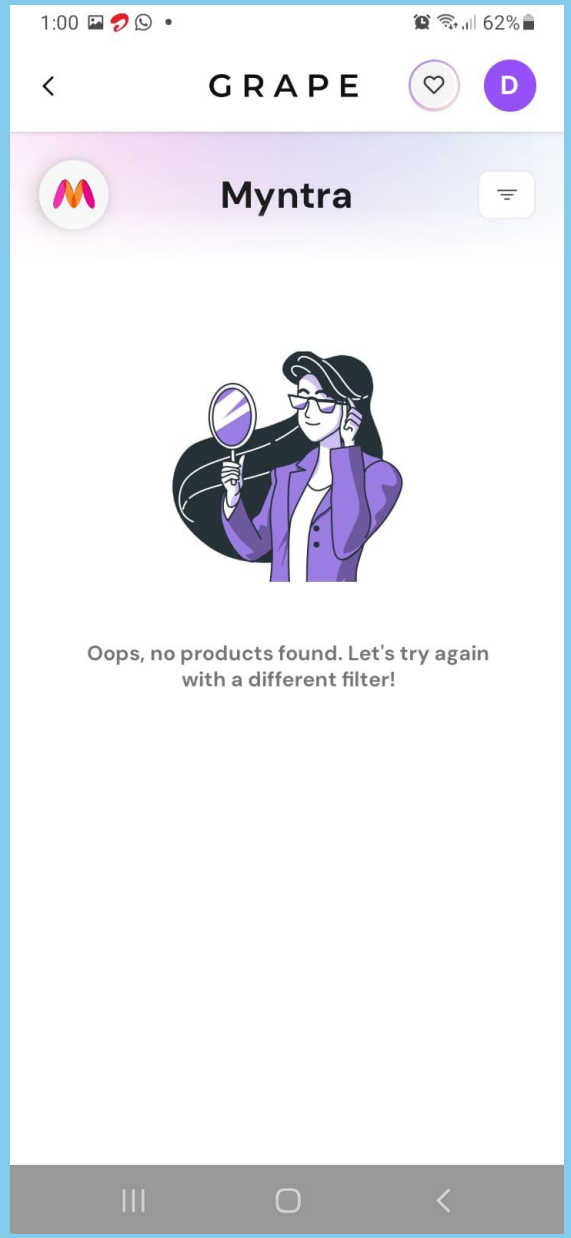
Issue

- Grape's AI is lagging behind its Competitors .
- Competitors are providing free AI for everyone initially to gain good user base while Grape is giving only 1 AI query for free .
- Charging method of Grape on AI Query should not be queries based as user takes followup question for same query , if they use impromptu 4-5 question for same query , it will feel as waste of money (keeping human nature in mind).
- Grape AI provides generic and positive solutions only .
- As per the available data , Grape needs to scale for Profitability .
- There is very Low growth in Grape' s Reach to users .
- There is no Interaction / discussion / blogs about Grape , which shows poor growth .

Issue

- No Expenses on Advertisement of AI feature , found no advertisement on meta database .
- In the shop section , there is no product is showing up for Myntra and for Savana Brand, there is some issues with product and pricing .





Suggestions

- Grape should try to Augment its AI .
  - It should focus on improving personalization .
  - It should explore in Body Fit Prediction .
  - It should add Wardrobe Inventory .
  - It should try to add on Virtual Try On Feature .
  - It should add Color Combinations and Genuine Replies .
- Grape can add Algorithms which considers
  - Skin undertones & seasonal color palettes
  - Body shape proportions
  - Face shape & structure
  - Wardrobe inventory (digital wardrobe mapping)
  - Occasion preferences
  - Lifestyle patterns
  - Shopping behavior
  - Outfit performance feedback (what users rate highly).

Suggestions

- Grape Should increase its scale and reach ,for which :
  - It should incentivize Fashion Influencers for every sale through them .
  - They should reach out to Small Influencers and let them talk about Grape and its AI Feature .
  - Grape should Advertise on the Emotion of “Ye Sahi Lag Rha Na ”.
  - Platform should free its AI to increase its Reach.
- To Increase User Interaction , Grape should make changes in the app.
  - Platform should add a Picture Search or find Similar feature for better experience .
  - It should go through its shop section and solve issues arising .
  - In Explore Page , they should activate a chat box , or chat page where users can discuss the style ,instead of share and like only .

Suggestions

- To increase its User's Base and Retention
  - They should provide incentives like Refer and Earn coins , those coins will help to get discount on shopping at Grape.
  - Platform should share ideas publicly, sent personalized messages (Like Holi h , Show Your Colors in Your way) or Bengali's style shopping for Nau Durga Puja , creative personalized message like ZOMATO .
  - It can be a platform where influencers can collaborate with clients on premium charges and get personalized suggestion (Gold Mines) and influencers get a platform to collaborate which acts as marketing for Grape .

Suggestions

- If Grape develop AI' as Stylz, it would *at 3-4 crores*, so for now Grape can opt for easy solutions, if they want to scale themselves later .
  - It can start with training its AI with color combinations guides available online .
  - As Grape asks about Body Shape, similarly instead of AI identify face shape by itself , we can ask user about their face's color and shape ,which can help give more personalized suggestion .
  - Similarly , they can use An Agent which can give suggestion based on Temperature , Climate and location .

- For Exact Solution , we need Exact Problem and For Identify the Exact Problem , we need to know the Exact Data .

Gold Mine

- **Indian weddings are a powerful economic engine**, ranking as the **fourth-largest industry in India**, valued at approximately **$130 billion (₹10.8 lakh crore)** annually.
- Indian families spend around **₹10.8 lakh crore ($130 billion)** on weddings each year, making it the **second-largest retail segment** after food and groceries.
- Bridal attire , Sherwanis and jewelry ,constitutes a significant expense with high demand of Designer Label and tailoring .
- There is a fascinating finding , *that an average Indian couple spends about **twice** as much on wedding as on education from pre-primary to Graduation* .
- In Apparel Market , approximately 11% of sale is driven by Wedding and celebration wear.

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- Aspiring Business Analyst with Analytical and Statistical Mindset along with key skills of Data Science and Business Understanding .
- Enthusiast for using Technology for Business Development .
- As a Data Enthusiast , I don’t see the numbers as digit only , every number has its own story to tell and I am interested in that story

Thank You